

The Mortgage Market

Lending to homebuyers is a big industry with a lot of money flying around. While it can be a complicated system to understand, we'll give you an overview of how the mortgage market works to make all of these home loans possible.

The Federal Reserve System

The Federal Reserve System, also called the Fed, divides the U.S. into 12 federal reserve districts, and each district is served by a district federal reserve bank. All national banks have to be part of the Fed and must purchase stock in the district banks. The purpose of the Fed is to keep the U.S.'s finances in check, avoiding both runaway inflation and serious deflation. The Fed's goal is to help create balanced and favorable economic conditions. It maintains this balance by regulating the flow of available funds and interest rates at each of its member banks. In other words, the Fed controls how much money is available and what banks can charge for that money.

Primary Mortgage Market

The **primary mortgage market** is where banks that originate loans operate. They have the cash, and they loan it to borrowers. The players in the primary mortgage market are homebuyers (borrowers) and lenders (commercial banks, credit unions, savings and loans, etc.).

Secondary Mortgage Market

Primary lenders don't want to hold onto loans because they'd run out of money pretty fast if they had to wait 30 years for borrowers to pay these loans back. Instead, they want to loan the money at one price, then package and sell the loans to investors on the **secondary market** for slightly more money. They earn a profit by keeping money moving in and out of their system. The secondary mortgage market services those loans.

How the Markets Work Together

Most lenders want to sell their loans to the secondary market as quickly and easily as possible. The secondary market wants to buy loans that are reasonably safe investments. So Fannie Mae and Freddie Mac, who are the major players in the secondary market, define what's known as a **conforming loan**. Any mortgage loan that meets the standards of a conforming loan is a loan that Fannie Mae and Freddie Mac will buy. The main standard of a conforming loan is the loan amount, which must be within the maximum allowed for the property type and location. Additional standards include loan-to-value ratio and borrower credit score so that the default risk is acceptable.

Due to the mortgage crisis, in which questionable lending standards contributed to the problem, lenders must generally research and document a borrower's income, assets, employment, credit history, and loan ratios to help ensure that the borrower has the ability to repay the loan (referred to as the **ability-to-repay rule**). One way that lenders can follow this ability-to-repay rule is to make a **qualified mortgage**. A qualified mortgage is a mortgage loan that meets specific ability-to-repay rules, including a prohibition on interest-only loans, negative amortization, balloon payments, or excessive loan terms (longer than 30 years).

If a loan doesn't meet the requirements of a conforming or qualifying mortgage, that doesn't mean the loan can't be made; it just means that it carries a higher risk, so it's offered at a higher interest rate, and it's harder to sell it on the secondary market. Non-conforming loans and unqualified mortgages are more likely to be sold to hedge fund concerns or private investors. These loans also must meet approved debt-to-income ratios and can't include excess upfront points and fees.